

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (27 marks – approximately 49 minutes)

In April 2020, Kitty Cheung, a partner of a five-partners firm, CCA & Co, was approached by New Sun Limited ("NSL") to replace its previous auditor, ABC & Co. ABC & Co retired in February 2020 after submitting the auditor's report for NSL's financial statements for the year ended 30 June 2019, wherein ABC & Co expressed an unqualified opinion. The major reason of NSL for changing the auditor is to reduce the audit fee. Kitty Cheung believes that she can complete the audit and charge NSL for an audit fee 20% lower than ABC & Co by performing the audit in a cost-effective way.

Kitty Cheung emphasised that cost-effective audits can be achieved by having a proper audit strategy and adequate planning as well as effective two-way communication with those charged with governance.

During the auditing planning process, the auditor has the responsibility to communicate with those charged with governance.

Required:

- (a) List the matters that should be considered by CCA & Co for the acceptance of a new client.
(5 marks)
- (b) List the procedures in order to assess whether the preconditions for an audit engagement are present.
(5 marks)
- (c) List the benefits of audit planning.
(5 marks)
- (d) List the important elements of the audit planning process.
(5 marks)
- (e) List the matters to be communicated to those charged with governance regarding the planned scope and timing of the audit.
(7 marks)

Question 2 (15 marks – approximately 27 minutes)

The role of the auditor is to enhance the creditability of the financial statements. The general public expects the auditors to detect most intentional misstatements in the financial statements that arise from fraud. The auditor is concerned with fraud that causes a material misstatement in the financial statements. The two types of intentional misstatements are relevant to the auditor: (a) misstatement resulting from fraudulent financial reporting and (b) misstatement resulting from misappropriation of assets.

Required:

- (a) Explain the overall objectives of the independent auditor in conducting an audit of financial statements. (4 marks)
- (b) Explain fraudulent financial reporting. (3 marks)
- (c) List THREE fraud risk factors for fraudulent financial reporting. (3 marks)
- (d) List FIVE fraud risk factors for misappropriation of assets. (5 marks)

Question 3 (15 marks – approximately 27 minutes)

You are an audit manager of DEF & Co, the external auditor of Good Health Limited ("GHL"), for the year ended 31 December 2019. GHL is the biggest sports wear and accessories wholesaler and retailer in Hong Kong.

You noticed that there was a mega sale conducted by GHL right after the year end date from 1 January 2020 to 5 January 2020 at its own warehouse. Products with a total cost of HK\$1.5 million were sold for HK\$1 million. The management did not make any adjustment on the inventory value with the reason that the goods were sold after the financial year-end date.

Required:

- (a) List out all types of modified audit opinions and the nature of matter giving rise to each of the modifications. (7 marks)

- (b) The management's reason for not adjusting the inventory value is as follows: "The mega sale is conducted after the year end date. In addition, the amount of HK\$0.5 million is clearly immaterial as it is much less than 1% of the total assets. It is unnecessary to write down the value of the inventories". The total assets of the company are HK\$150 million and the profit before tax is HK\$1 million.

State your opinion on the management's statement that the amount of HK\$0.5 million is immaterial.

(4 marks)

- (c) Your audit senior is helping you on drafting the auditor's report: he asked you what are the essential elements that would be included in the basis for opinion section if the engagement team disagrees with the management's statement and consider that the inventory value is overstated by HK\$0.5 million. State your answer.

(4 marks)

Question 4 (23 marks – approximately 41 minutes)

The CPA firm, BC & Co is the external auditor of Clear Mind Limited ("CML"), which is a company that carries out a trading business. CML purchases goods from mainland China and sells them to overseas customers. All the sales are credit sales.

You are the manager in charge of the audit of the financial statements of CML, and have been working on this audit engagement for a few years. CML has effective internal control over the sales cycle and trade receivables. James Chow is assigned as your assistant. From an in-house auditing training programme, James learnt that business risk and audit risk were the two important factors in determining the scope of audit works to be performed by auditors in conducting audits of financial statements. You decided to assign James to audit the sales and trade receivables. You have assessed the risk of material misstatement of trade receivables at the valuation assertion level as low, with an expectation that the relevant internal controls operate effectively throughout the year.

Required:

- (a) State the audit risk model and explain each of the components. (6 marks)
- (b) List the FIVE components of internal control. (5 marks)
- (c) Explain to James the business risk and inherent risk of the trade receivables of CML. (4 marks)
- (d) List the possible substantive audit procedures to audit sales revenue. (8 marks)

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